

Awfis Space Solutions Limited

Company Overview:

Awfis Space Solutions Limited is India's largest flexible workspace solutions company as of December 2023, based on the total number of centers. As of Dec'23, the company ranked first among the top 5 benchmarked players in the flexible workspace segment, with a presence in 16 cities in India. Additionally, as of Dec'23, the company is present in the maximum number of micro-markets in India. The company has 169 total centers across 16 cities in India, with 1,05,258 total seats and a total chargeable area of 5.33 mn sq. ft. Out of these, 31 centers and 25,312 seats are under fit-out, with a chargeable area aggregating to 1.23 mn sq. ft. Furthermore, the company has signed letters of intent (LOI) with space owners for 13 additional centers, with 10,859 seats aggregating to 0.55 mn sq. ft.

Key Highlights:

1. Two Differentiated models for sourcing and procuring workspace:

(a) SL Model: The SL model involves leasing space to flexible workspace operators on traditional leases, typically for five to nine years. The company bears the capital expenditure for fitting out the property and assumes the risk of capital, occupancy build-up, and preoperative operational burn.

(b) MA model: The Managed Aggregation (MA) model involves space owners co-investing in fit-out infrastructure and sharing the capital expenditure with the operator. Most arrangements are based on profit or revenue sharing. The operator provides a Minimum Guarantee (MG) to the space owner, typically payable from the 5th to 13th month of operations. As of December 31, 2023, the MG at MA centers averaged 45.88% of the micro-market rental. Additionally, 58.88% of the MA model arrangements had an MG obligation, while 41.12% did not. The operator also provides design, fit-out, marketing, demand generation, and technology-enabled and facility management services under the MA arrangement.

2. Business offering and workspace format: The company offers a wide range of flexible workspace solutions, including desk options, office spaces, and mobility solutions for individuals, start-ups, small and medium enterprises, as well as large corporations. Clients can contract services for periods ranging from one hour to several years. They also provide construction and fit-out services through Awfis Transform and facility management services through Awfis Care. Additionally, the company offers food and beverages, IT support, infrastructure services, and event hosting.

3. Customer base: As on December'23, the company has 2,295 clients. The company's clients operate in a diverse range of industries such as technology, media and entertainment, automotives, financial services and healthcare. Clients include Marlabs Innovations Private Limited, Body Cupid Private Limited, Etc.

Valuation: The company is valued at the FY23/FY24E EV/Sales multiple of 4.9x/3.1x at post-issue market capital. Its revenue has grown at a CAGR of 75%, from Rs 178 crore in FY21 to Rs 545 crore in FY23. The company is raising funds through fresh issue to fund its capital expenditure towards establishment of new centers which will be operational by FY26. The company is adding 31 new centers which include 25,312 seats, out of which 24 centers and 19,475 seats have been signed under the MA model (Asset light model), which will aid the company to increase its topline and return ratios from FY26 onwards. Growing demand for seats in flexible workspaces industry is expected to grow at the CAGR of 19% from 1,77,000 seats in FY22 to 3,45,000 seats in FY26 which bodes well for the company. We recommend subscribing to the issue for long-term investment.

Issue Details	
Date of Opening	22 nd May 2024
Date of Closing	27 th May 2024
Price Band (Rs)	364 - 383
Offer for sale (Equity shares)	1,22,95,699
Fresh Issue (Rs cr)	128
Issue Size (Rs cr)	599 @ Upper Price Band
No. of shares	1,58,12,183 – 1,56,37,736
Face Value (Rs)	10
Post Issue Market Cap (Rs cr)	2,533 – 2,658
BRLMs	ICICI Securities, Axis Capital, IIFL Securities, Emkay Global Financial Services
Registrar	Bigshare Services Private Limited
Bid Lot	39 shares and in multiple thereof
QIB shares	75%
Retail shares	10%
NIB shares	15%

Objects of Issue	
	Estimated utilization from net proceeds (Rs cr)
Funding capital expenditure towards establishment of new centers	42.0
Funding our working capital requirements	54.4
General corporate purposes*	-*
Total proceeds from fresh issue	128.0

* To be finalised upon determination of the Offer Price and updated in the Prospectus prior to filing with the RoC. The amount utilised for general corporate purposes shall not exceed 25% of the Gross Proceeds.

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	2,74,44,403	41.5
Public & Others	3,86,31,376	58.5
Total	6,60,75,779	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	2,08,28,817	29.9
Public & Others	4,87,63,446	70.1
Total	6,95,92,263	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	2,08,28,817	30.0
Public & Others	4,85,88,999	70.0
Total	6,94,17,816	100.0

Source: RHP, SSL Research

Key Financials

	FY21	FY22	FY23	1HFY24
Revenue from operation (Rs cr)	178	257	545	616
EBITDA (Rs cr)	53	68	156	178
PAT (Rs cr)	(43)	(57)	(47)	(19)
EBITDA Margin (%)	29.8	26.6	28.5	28.9
PAT Margin (%)	(23.9)	(22.2)	(8.6)	(3.1)
ROE (%)	(28.3)	(60.3)	(27.5)	(7.7)*
ROCE (%)	2.5	(7.9)	14.5	18.5*
Total Debt / Equity	0.0	0.1	0.1	0.1*

* Not Annualized

Source: RHP, SSL Research

Risk Factors

- **Negative cash flow:** The company have experienced negative cash flows in previous Fiscals and may continue to have negative cash flows in the future.
- **Revenue growth:** The company's business has grown rapidly, including revenue from contracts with customers that has grown at a CAGR of 74.9% from Rs 178.4 cr in FY21 to Rs 545.3 cr in FY23, and the company may fail to manage growth effectively.
- **Macroeconomic Factors:** The company's growth may be negatively impacted by macroeconomic factors.
- **Space owner agreements:** The company has entered into Space owner agreements to render operation and marketing services in relation to the managed aggregation (MA) centers and are subject to risks related to such Space owner agreements.

Growth Strategy

- Continue to build an industry leading capital efficient model.
- Expand in new and existing markets.
- Enhancing product and service offerings.
- Improving operational efficiency.

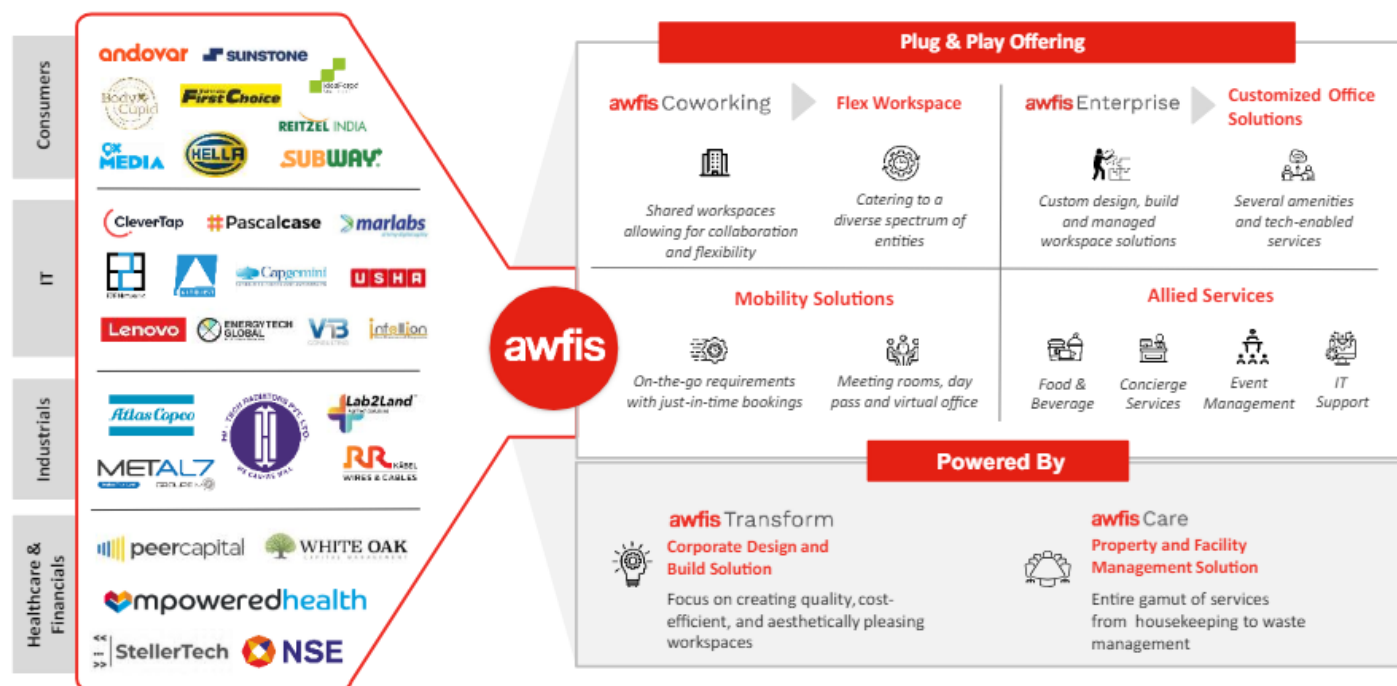
Segment Wise Revenue Split

	FY21		FY22		FY23		9MFY24	
	(Rs cr)	(% of revenue from contracts with customers)	(Rs cr)	(% of revenue from contracts with customers)	(Rs cr)	(% of revenue from contracts with customers)	(Rs cr)	(% of revenue from contracts with customers)
Co-working space on rent and allied services	162	91	196	76	419	77	451	73
Construction and fit-out projects	11	6	49	19	105	19	147	24
Others	5	3	12	5	21	4	18	3
Revenue from contracts with customers	178	100	257	100	545	100	616	100

Source: RHP, SSL Research

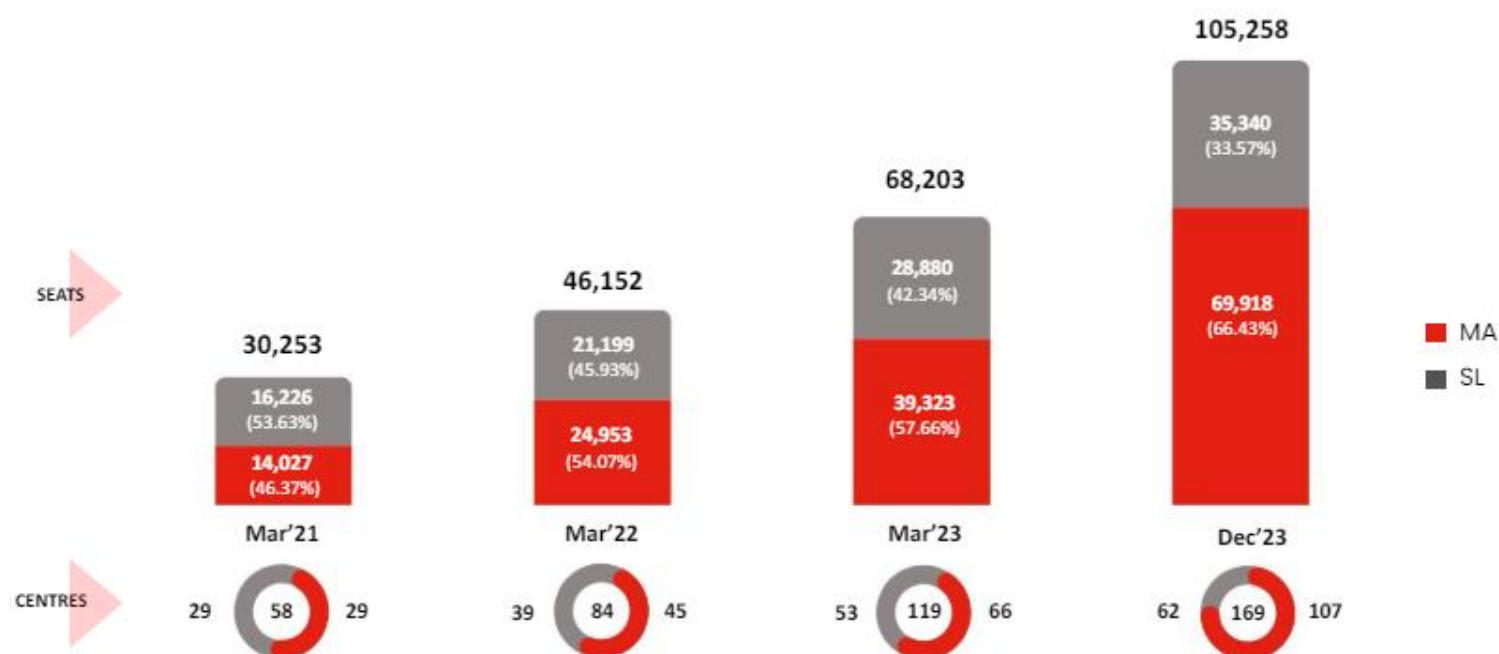
Awfis Workspace Solutions Platform

AWFIS WORKSPACE SOLUTIONS PLATFORM



Source: RHP, SSL Research

Split of Centers & Seats Under MA & SL Model



Source: RHP, SSL Research

Mar'21, Mar'22 and Mar'23 data is for operational/seats.

Dec'23 data is for Total centers/seats which includes 138 operational centers + 31 fit-out centers and 79,946 operational seats + 25,312 fit-out seats.

24 fit-out centers and 19,475 seats have been signed under the MA model.

Total has been provided for Dec'23 as historical under fit-out centers/seats have been converted to operational centers/seats in FY21, FY22 and FY23.

Supply Network, Occupancy % and Projected demand

Supply Network	FY21	FY22	FY23	9MFY24
Operational Cities	11	13	16	16
Operational Chargeable Areas (mn sq. ft.)	1.46	2.21	3.5	4.1
Operational Centers	58	84	119	138
Operational Seats	30,253	46,152	51,140	60,038
Occupied Seats	17,946	20,099	51,140	60,038
Occupancy %	59.32	63.05	74.98	75.10

Operational Center Vintage	Occupancy % (based on vintage of center)			
	FY21	FY22	FY23	9MFY24
0-6 months from launch date	21.69	42.77	30.27	33.07
6-9 months from launch date	37.03	51.41	76.15	46.26
9-12 months from launch date	-	49.03	73.07	76.59
Above 12 months from launch date	66.39	72.39	83.3	82.81
Occupancy %	59.32	63.05	74.98	75.1

Source: RHP, SSL Research

Projections for End User space off-take within flexible workspace segment in India in the future

Flexible workspaces segment is a relatively newer asset class in India witnessing significant evolution over the last 5 – 6 years in terms of product offerings. The flexible workspaces segment can be considered as one of the fastest growing alternative real estate classes adding value to the entire commercial office ecosystem.

Keeping in consideration the evolving nature of the flexible workspaces segment:

- In the past, Y-o-Y end user space offtake witnessed significant growth with increasing Y-o-Y growth rates. With the growth of enterprise solutions, significant increase in average occupancy across India is expected over the short to medium term horizon.
- Increased demand witnessed for flexible workspaces post the COVID-19 pandemic.
- Witnessed increasing enterprise adoption for flexible workspaces.
- Noted a preference for agility in office spaces and capex light solutions.
- The flexible workspaces segment has also evolved towards providing customized solutions / managed office formats, which has led to a significant widening of the potential occupier base as large corporates with stringent workplace policies are getting serviced by these custom solutions.

Considering robust demand for flexible workspaces is expected in the commercial office market, a growth rate of 18 - 19% for next 3 - 4 years has been considered on account of the increasing base and overall size of the flexible workspaces market. In addition, expected market size of the flexible workspaces segment in the next 3 – 4 years and expected average occupancy levels have also been kept into consideration while opining on the Y-o-Y end user space take-up / demand estimation for the flexible workspaces segment.

The table below elucidates the projected end-user demand for flexible workspaces in the next 3 – 4 years (2023 – 2026):

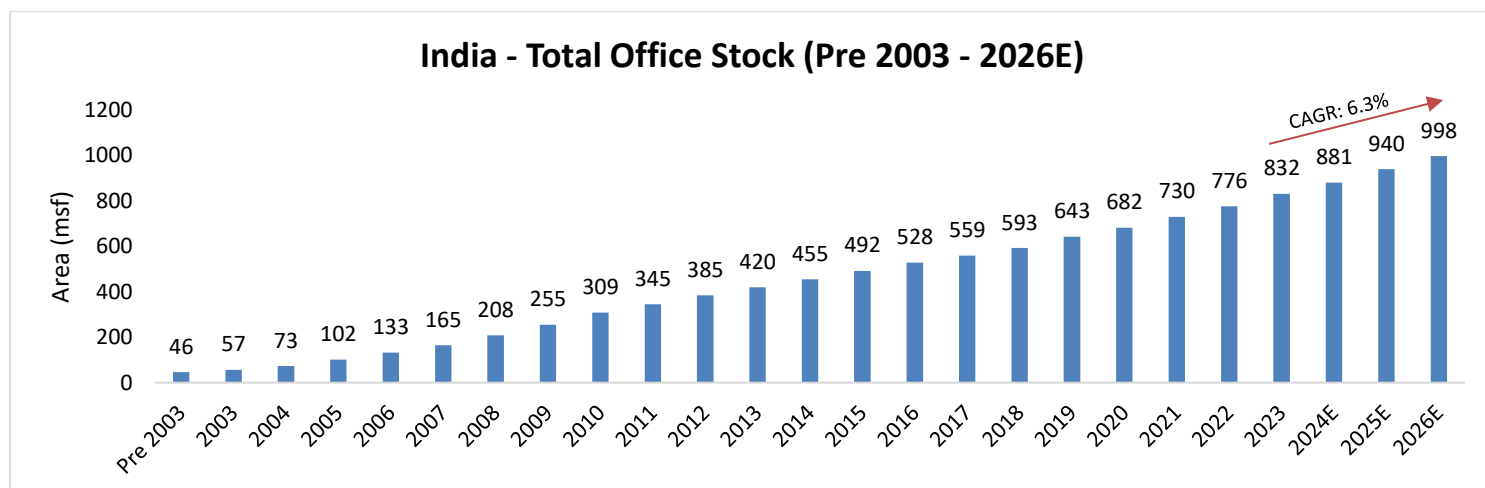
Parameters	2022	CAGR 2022 - 2026E	2026E
Projected End User Demand (Numbers of Seats in '000)	167 - 177	18% - 19%	335 - 345

While report contains the actualized/updated supply for flexible workspaces in India, the number of seats transacted is based on information which gets collated and actualized annually. Therefore, the view on projections is unaltered and assumed to be same for the next few years, as projected previously.

The flexible workspace industry has witnessed a rapid rise in demand over the past 2-3 years. The CAGR for leasing flexible workspaces between 2022 and 2026 is expected to be around 18 - 19% in Tier 1 cities. Additionally, the demand has been expected to increase at CAGR of 27-28% from 2019 to 2026.

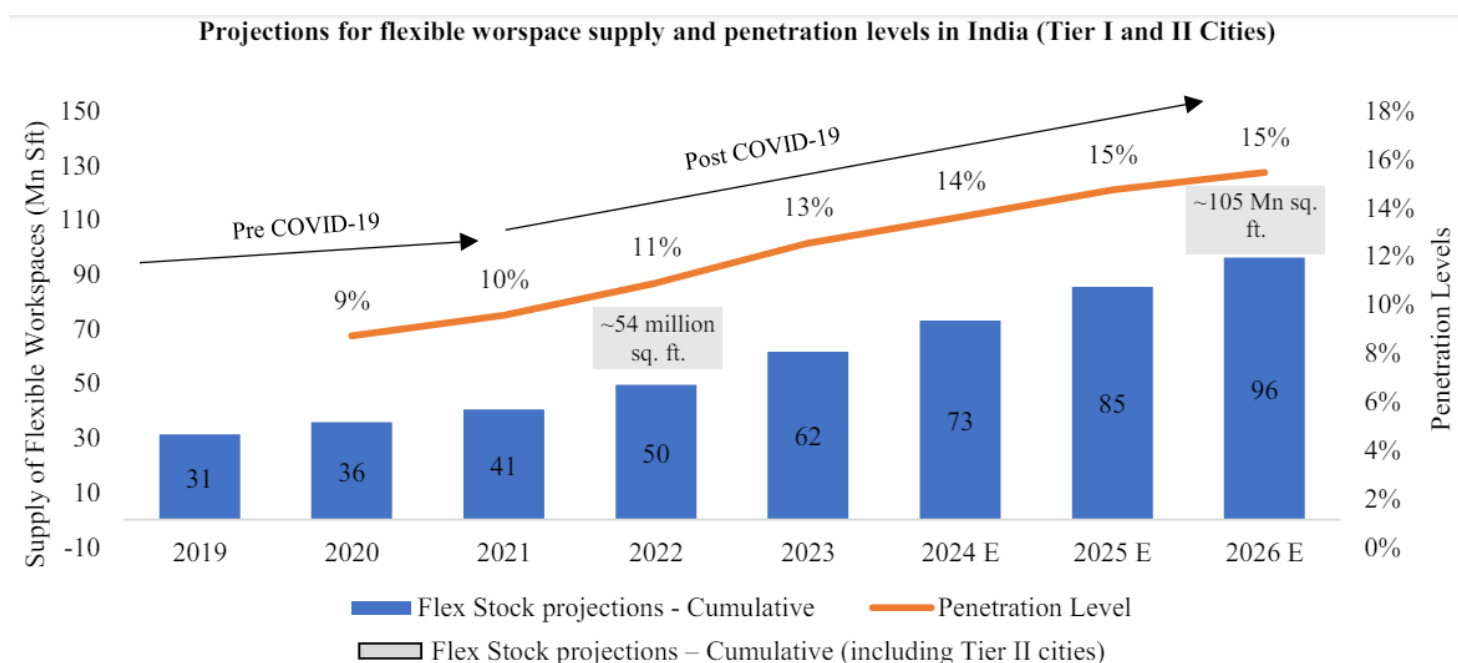
Industry Overview

Evolution of Office Stock in India: India's office real estate landscape has changed significantly in the past two and a half decades. Since the early 2000s, office stock has grown more than 18 times from approximately 46 mn sq. ft. as of pre 2003 to approximately 832 mn sq. ft. as of Dec'23. Indian real estate has emerged as a favored investment asset class due to various intrinsic factors including growth of the economy, demand-supply fundamentals, investor-friendly policies and increased transparency. Historically, the Indian office market grew at a CAGR of 6.8%. However, the Indian office market is expected to grow at a CAGR of 6.3% from 2023 to 2026. The office demand is expected to further enhance due to higher interest levels of domestic occupiers along with healthy demand from global markets.



Source: RHP, SSL Research

Total Projected Market Size (Tier 1 + Tier 2 cities): The total projected market size in Tier 1 cities and Tier 2 cities for flexible workspace segment is projected to be approximately 105 million sq. ft. by 2026, including the supply addition within Tier 2 cities in India. The Tier 2 cities in India are set to be the next growth frontier for flexible workspaces with demand for commercial real estate in these cities expected to increase significantly in the next 3 – 4 years.



Source: RHP, SSL Research

Financial Snapshot

INCOME STATEMENT			
(Rs cr)	FY21	FY22	FY23
Revenue from Operations	178	257	545
YoY growth (%)	-	44.1	112.1
Cost Of Revenues (incl Stock Adj)	11	46	103
Gross Profit	167	211	442
Gross margins (%)	93.8	82.2	81.1
Employee Cost	32	54	96
Other Operating Expenses	82	89	191
EBITDA	53	68	156
EBITDA margins (%)	29.8	26.6	28.5
Other Income	38	22	21
Net Interest Exp.	47	49	73
Depreciation	87	98	150
Exceptional Items	0	0	0
PBT	-43	-57	-47
Tax	0	0	0
PAT	(43)	(57)	(47)
PAT margin (%)	(23.9)	(22.2)	(8.6)
EPS	(22.3)	(29.8)	(24.4)

BALANCE SHEET			
(Rs cr)	FY21	FY22	FY23
Assets			
Net Block	96	121	247
Capital WIP	0	9	0
Intangible Assets	1	1	1
Intangible Assets under development	0	0	0.32
Right of use assets	203	219	404
Other Non current Assets	58	89	138
Current Assets			
Current Investment	42	16	0
Inventories	0	1	0
Trade receivables	15	31	48
Cash and Bank Balances	42	6	18
Short-term loans and advances	0	0	0
Other Current Assets	51	69	72
Total Current Assets	151	122	139
Current Liabilities & Provisions			
Trade payables	28	45	51
Other current liabilities	20	67	108
Short-term provisions	2	3	3
Total Current Liabilities	49	115	162
Net Current Assets	101	7	-23
Total Assets	459	445	769
Liabilities			
Share Capital	30	30	30
Reserves and Surplus	121	65	139
Total Shareholders Funds	151	95	169
Minority Interest	0	0	0
Total Debt	3	12	11
Long Term Provisions	0	0	0
Lease Liabilities	259	286	489
Other Long Term Liabilities	47	52	100
Net Deferred Tax Liability	0	0	0
Total Liabilities	459	445	769

Cash Flow (Rs)	FY21	FY22	FY23
Cash flow from Operating Activities	57	83	195
Cash flow from Investing Activities	(38)	7	(170)
Cash flow from Financing Activities	(17)	-80	(28)
Free Cash Flow	20	19	50

RATIOS			
	FY21	FY22	FY23
Profitability			
Return on Assets (%)	(8.4)	(10.2)	(5.0)
Return on Capital (%)	2.5	(7.9)	14.5
Return on Equity (%)	(28.3)	(60.3)	(27.5)
Margin Analysis			
Gross Margin (%)	93.8	82.2	81.1
EBITDA Margin (%)	29.8	26.6	28.5
Net Income Margin (%)	(23.9)	(22.2)	(8.6)
Short-Term Liquidity			
Current Ratio (x)	1.4	0.6	0.5
Quick Ratio (x)	1.4	0.6	0.5
Avg. Days Sales Outstanding	31	44	32
Avg. Days Inventory Outstanding	0	1	0
Avg. Days Payables	57	64	34
Fixed asset turnover (x)	1.9	2.1	2.2
Debt-service coverage (x)	1.1	1.1	1.9
Long-Term Solvency			
Total Debt / Equity (x)	0.0	0.1	0.1
Interest Coverage Ratio (x)	0.1	(0.2)	0.4
Valuation Ratios			
EV/EBITDA (x)	13.1	10.8	4.7
P/E (x)	-	-	-
P/B (x)	4.9	7.7	4.3
EV/Sales (x)	3.9	2.9	1.3

Source: RHP, SSL Research

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